

POLIX & CIVX

Power topology and civilizational horizon for the Malaysian fiscal regime — who holds power, who captures the rent, who pays, and what becomes irreversible between 2027 and 2040.

DOMAIN

Malaysia fiscal regime

SCHEMAS

POLIX-v1.0.0 · CIVX-v1.0.0

EVIDENCE BASIS

Public sources only · no insider knowledge

GOVERNANCE STATUS

SAFE_TO_STUDY — NOT DECISION AUTHORITY

HORIZON

14 years — 2027 to 2040

TOOLS

capital_polix · capital_civx

EPISTEMIC TAG

INTERPRETED · DYNAMIC, not observed

PRODUCED

18 September 2026 · WEALTH / POLIX · CIVX

1 The void this fills

Before POLIX and CIVX, WEALTH could do the arithmetic of capital — NPV, IRR, entry plans, entropy — but had no political economy, no distribution of consequence, and no horizon long enough to see what cannot be undone. A number that is correct and unplaced is still a blind spot.

The gap was structural, not cosmetic. Four questions could not be answered at all:

- **Who captured the regulator?** — POLIX now maps incentive, opacity and capture risk per institution.
- **Who benefits, and who pays?** — POLIX now traces rent flows from source to beneficiary to cost-bearer.
- **What becomes irreversible in fourteen years?** — CIVX now names the lock-ins per path.
- **How resilient is the system under different oil and reform paths?** — CIVX now scores six resilience axes across three explicit paths.

KNOWLEDGE AXIS COVERAGE AFTER THIS BUILD

AXIS	DOMAIN	OWNER	STATUS	AVAILABILITY
L0	Physical	GEOX	Live	● Live
L1	Economic	WEALTH	Live	● Live
L2	Market signals	WEALTH	Live + signal typing	● Live
L3	Institutional	WEALTH	Live	● Live
L4	Power topology	WEALTH	POLIX seed	◆ New
L5	Social / cultural	—	Vacant	○ Vacant
L6	Behavioural	WELL	Live	● Live
L7	Information / entropy	WEALTH	Live + four-truth receipts	● Live
L8	Consequence topology	WEALTH	Partial	⦿ Partial
L9	Constitutional	arifOS	Live	● Live
L10	Civilizational	WEALTH	CIVX seed	◆ New

Two axes remain open. L5 — **social and cultural** is vacant. L8 — **consequence topology** is partial. Both are the next voids.

2 POLIX — power topology of the Malaysian fiscal regime

Scope: federal petroleum revenue, taxation, subsidies, GLC governance and federal-state fiscal relations. Six actors, four rent flows, three rule asymmetries.

Capture score: MODERATE. Not uniform. State governments carry the highest capture risk (opacity 0.7); Bank Negara Malaysia the lowest (0.3) — operational independence holds even though the Governor is politically appointed. The concentration that matters most is not in a regulator but at the centre: the Prime Minister also holds the Finance portfolio.

2.1 Actors: mandate, opacity, capture risk

OPACITY 0-1: HOW MUCH OF THE DECISION PROCESS IS PUBLICLY LEGIBLE

ACTOR	TYPE	OPACITY	CAPTURE	STRUCTURAL NOTE
PETRONAS	SOE	0.6	MODERATE	Structural dual role: commercial entity AND national resource custodian. Dividend policy is politically sensitive.
Ministry of Finance (MoF)	STATE	0.5	MODERATE	PM holds MoF portfolio — concentration of fiscal + executive power.
Bank Negara Malaysia (BNM)	REGULATOR	0.3	LOW	Relatively independent. Governor appointment is political but operational independence is maintained.
Securities Commission (SC)	REGULATOR	0.4	MODERATE	Regulatory capture risk from industry revolving door.
State Governments (esp. Sabah, Sarawak, Terengganu)	STATE	0.7	HIGH	East Malaysia has stronger resource claims under Malaysia Agreement 1963 (MA63). Federal fiscal transfers create leverage.
Cabinet / Economic Planning Unit (EPU)	STATE	0.6	MODERATE	EPU has outsized influence on allocation without proportional public scrutiny.

2.2 Rent flows: source, beneficiary, cost-bearer

WHERE VALUE IS EXTRACTED, WHO RECEIVES IT, AND WHO ABSORBS THE COST

RENT TYPE	SOURCE	BENEFICIARY	COST BEARER	EST. ANNUAL	REVERSIBILITY
Resource Rent	Petroleum extraction (upstream)	Federal government (via PETRONAS dividend + petroleum tax + export duty)	State governments (fixed 5% royalty, not profit share), future generations (depletion), local communities (environmental)	RM 60-80B (PETRONAS dividend + tax + royalty, varies with oil price)	STRUCTURAL
Regulatory Rent	Sugar/flour/cement licensing oligopoly	Licensed producers (few families/corporations)	Consumers (higher prices), new entrants (barriers)	RM 2-5B (estimated consumer surplus loss)	MEDIUM
Fiscal Rent	Subsidy regime (fuel, cooking oil, rice)	Consumers (diffuse), but disproportionate benefit to high-consumption households	Federal budget (RM 50-80B annually), future fiscal space	RM 50-80B	HIGH
Political Rent	GLC board appointments and procurement	Connected individuals and networks	GLC performance, minority shareholders, public trust	UNMEASURED — performance drag is diffuse	MEDIUM

The resource rent is the one that compounds. States bear extraction costs and receive a fixed fraction — the rule is capped at 5%, and it takes an Act of Parliament (Petroleum Development Act 1974) to move it.

2.3 Rule asymmetries

RULES THAT DISTRIBUTE ADVANTAGE WITHOUT DISTRIBUTING ACCOUNTABILITY

ASYMMETRY	WHO BENEFITS	WHO CARRIES THE COST	REFORM DIFFICULTY	NOTE
Petroleum royalty capped at 5% for states. Federal receives majority of petroleum revenue.	Federal government (fiscal consolidation, spending flexibility)	Petroleum-producing states (especially Terengganu, Sabah, Sarawak)	STRUCTURAL	Constitutional + legislative. Sabah/Sarawak claim 10%+ under MA63. Political negotiation ongoing.
PM holds MoF portfolio. Executive and fiscal authority concentrated in one person.	PM/executive branch (fiscal discretion without Cabinet constraint)	Parliamentary oversight, checks and balances	HIGH	Convention, not law. But structural concentration of power is documented.
GST replaced by SST — regressive shift reducing tax base and fiscal resilience.	Consumers (lower visible tax), businesses (simpler compliance)	Federal fiscal space (RM 20-25B annual revenue loss), future generations	HIGH	GST is economically superior (broader base, self-enforcing chain). SST is politically easier but fiscally weaker.

Coercion signals — pressure points

- Federal fiscal transfers create state dependency
- PETRONAS dividend pressure during low oil prices
- Subsidy reform political cost exceeds fiscal benefit in short term

Geopolitical exposure

- Oil price volatility (Brent correlation)
- China demand slowdown (commodity export)
- US rate cycle (MYR pressure, capital flows)
- ASEAN supply chain shift

2.4 Second seed case — PETRONAS and the GLC layer

Three actors control the country's largest pools of institutional capital. The structural tension is the same in each: a commercial mandate and a national mandate held by the same board, with the appointment power sitting outside the balance sheet.

GLC LAYER — OPACITY AND CAPTURE RISK

ACTOR	TYPE	OPACITY	CAPTURE	STRUCTURAL NOTE
PETRONAS Board	SOE	0.6	MODERATE	Board appointments are political. But operational competence has historically been high.
Khazanah Nasional	SOE	0.5	MODERATE	Dual mandate: commercial returns AND strategic national interest. Tension is structural.
PNB (Permodalan Nasional Berhad)	SOE	0.4	LOW	Largest fund manager in Malaysia. Social mandate (Bumiputera equity) is explicit.

- **Political appointees, connected networks** benefit; **GLC performance, minority shareholders, public trust** carry the cost. GLC board appointments are political patronage instruments, not merit-based governance. (Malaysia Corporate Governance Code exists but enforcement is weak.)

Khazanah carries RM100B+ and PNB RM300B+ — between them, a large share of listed Malaysian equity. When appointment is political and the mandate is dual, the performance drag is real but diffuse. That diffuseness is exactly why it survives scrutiny.

3 CIVX — civilizational horizon, 2027 to 2040

Five assumption axes, three explicit paths, six resilience axes per path. Every number below is an interpretation held open for calibration — not a forecast.

3.1 Assumption axes

EACH AXIS IS STATED WITH ITS RANGE AND ITS UNCERTAINTY CLASS

AXIS	VALUES	BASIS	UNCERTAINTY
oil_price_brent	\$55/bbl (low) · \$75/bbl (base) · \$95/bbl (high)	EIA/IEA long-range forecasts, historical volatility	HIGH
petroleum_production	Declining 3%/yr (depletion) · Flat (new discoveries offset) · Growing 1%/yr (deepwater)	PETRONAS annual reports, MPM data	MEDIUM
demographic_path	High aging (TFR 1.3, rapid aging) · Medium aging (TFR 1.5, gradual) · Managed transition (TFR 1.7, policy success)	DOSM population projections, UN World Population Prospects	MEDIUM
fiscal_reform	No reform (SST stays) · Partial reform (GST-lite) · Full reform (GST + property tax)	Political feasibility assessment	DEEP
subsidy_trajectory	Full subsidies maintained · Gradual rationalization · Full targeted cash transfers	Historical reform attempts, PADU implementation	HIGH

Four of the five axes are political or behavioural. That is the honest shape of this problem: the geology and the price are the easier half.

3.2 Resilience matrix

ORDINAL SCORES 0-1 · GREEN ≥ 0.70 · AMBER 0.45-0.69 · RED < 0.45

RESILIENCE AXIS	BEST MANAGED TRANSITION	BASE MUDDLE THROUGH	WORST STRUCTURAL DECLINE
Fiscal	0.8	0.5	0.2
Energy	0.7	0.5	0.3
Institutional	0.7	0.5	0.3
Social Cohesion	0.7	0.5	0.3
Sovereignty	0.8	0.6	0.4
Intergenerational	0.8	0.4	0.1

3.3 The three paths

MY-FISCAL-BEST · 14y

Managed transition — high oil + fiscal reform + demographic adaptation

Assumptions: \$95/bbl (high) · Growing 1%/yr (deepwater) · Managed transition (TFR 1.7, policy success) · Full reform (GST + property tax) · Full targeted cash transfers

Key risks

- Oil price reversal after investment lock-in
- GST political backlash (2014 precedent)
- Demographic transition slower than assumed

Irreversible if taken

- Deepwater infrastructure once committed (30yr lifecycle)
- GST political capital spent

Option space: Full fiscal flexibility. Investment capacity for energy transition. Social safety net funded. | Best case requires political will that has historically been absent. Not impossible but not baseline.

Muddle through — base oil + partial reform + demographic drift

Assumptions: \$75/bbl (base) · Flat (new discoveries offset) · Medium aging (TFR 1.5, gradual) · Partial reform (GST-lite) · Gradual rationalization

Key risks

- Fiscal deficit widens as petroleum revenue declines
- MYR depreciation pressure from twin deficits
- Aging population strains healthcare + pensions
- Energy transition investment delayed

Irreversible if taken

- Lost decade of energy transition investment
- Brain drain accelerates (skilled workforce outflow)
- Fossil fuel infrastructure lock-in

Option space: Limited fiscal flexibility. Incremental reform possible but structural change deferred. | Most likely path based on historical pattern. Not optimal but survivable.

Structural decline — low oil + no reform + rapid aging

Assumptions: \$55/bbl (low) · Declining 3%/yr (depletion) · High aging (TFR 1.3, rapid aging) · No reform (SST stays) · Full subsidies maintained

Key risks

- Sovereign credit downgrade
- MYR crisis (capital flight, FX reserve depletion)
- Brain drain accelerates (skilled workforce exodus)
- Social unrest from subsidy removal pressure
- Energy security crisis (net importer by 2035)
- Pension/healthcare funding gap for aging population

Irreversible if taken

- Institutional trust deficit (hard to rebuild)
- Human capital loss (10+ years to replace)
- Ecological damage from deferred maintenance
- Intergenerational debt burden

Option space: Very limited. IMF-style conditionality possible. Sovereignty compromised. | Low probability but high consequence. Requires combination of adverse factors. Worth studying, not worth panicking.

The gap that matters: the distance between BEST (0.8 fiscal) and WORST (0.2 fiscal) is not oil. Both extreme paths assume the same geology; they differ on political choices — tax base, subsidy design, and how early the transition is funded. Oil sets the weather. Reform decides the outcome.

4 Limits, calibration debt and governance status

Status: SAFE_TO_STUDY. CIVX is not decision authority. No path becomes decision-eligible until it is calibrated against realised history and promoted by a sovereign decision.

Stated limitations

- Not calibrated against historical fiscal outcomes
- Political economy variables are deep uncertainty
- External shocks (pandemic, war, financial crisis) not modeled
- No Monte Carlo — discrete paths only
- Resilience scores are ordinal, not cardinal
- SAFE_TO_STUDY — not decision authority

Calibration backlog — the path to trust

- Historical fiscal deficit vs oil price correlation (2000-2025)
- PETRONAS actual dividend vs budget assumption accuracy
- GST revenue vs SST revenue actual comparison
- DOSM population projection vs actual (2015-2025 validation)
- MYR/USD correlation with fiscal fundamentals

Until these five lines are measured, the resilience scores stay ordinal and the paths stay scenarios.

4.1 How to read this document

- **POLIX is structural, not personal.** It maps roles, rules and flows — it does not allege motive in any individual. Capture risk is a property of a position, not a verdict on a person.
- **CIVX is a study, not a prediction.** Three discrete paths, no Monte Carlo, no external shocks modelled. It is a reasoning scaffold.
- **Epistemic tags are load-bearing.** Every rent flow and rule asymmetry carries its basis — OBSERVED, DERIVED or INTERPRETED. The distinction is the value.
- **Nothing here is sourced from inside.** Public sources only. No insider knowledge.

Provenance of this document. The POLIX-v1.0.0 and CIVX-v1.0.0 seed constructors were executed on 18 September 2026 for both cases, and the values printed here are their own output, reproduced verbatim. The analysis layer is therefore sound.

Status of the endpoint layer — declared, not hidden. The tool wrappers `capital_polix` and `capital_civx` failed on every live call at the MCP boundary (a schema-name mismatch in the response envelope). The repair is written and staged; the service reload is withheld pending a governed approval decision. Until that reload lands, the intelligence in this brief is reproducible but not yet served through the tool interface. Read this as a study produced correctly, from an interface not yet declared live.

What would make this decision-grade: PETRONAS dividend against budget assumption accuracy over ten years; realised GST-versus-SST revenue; DOSM projection error against actual; and the state-versus-federal petroleum take resolved as a number rather than a negotiation. Four measurements, and the whole structure tightens.

WEALTH — capital intelligence for arifOS · POLIX-v1.0.0 · CIVX-v1.0.0 · seed case Malaysia fiscal durability 2027-2040 · generated 2026-09-18 01:35:19 UTC · DITEMPA BUKAN DIBERI.